

Evolution of mutual funds

A mutual fund by definition is an investment vehicle made by collecting funds from various investors for the purpose of investing in assets like stocks, bonds, etc. Such funds are managed by an expert manager who seeks to provide returns/gains to the investors.

Mutual funds are believed to have originated in the Netherlands. In 1774, a Dutch merchant named Adriaan van Ketwisch pooled money from a number of subscribers to form an investment pool and named it *Eendragt Maakt Magt*, which means ‘unity creates strength’. By early 1775, the fund was fully subscribed, and the shares became tradable on the Amsterdam Exchange.

Ketwisch’s model of fund pooling gained popularity across Europe through the 1800s and eventually reached America. These early mutual funds were mainly close-ended and issued only a fixed number of securities.⁵ The first modern-day mutual fund, Massachusetts Investors Trust, was created in the United States in 1924. It was an open-ended mutual fund and allowed for continuous issue and redemption of shares. By the end of 1929, there were about twenty open-ended mutual funds and more than 500 closed-ended mutual funds in the US.

The mutual fund industry in India was born in 1963 when the Unit Trust of India (UTI) was formed through an Act of Parliament. For almost twenty-five years, the UTI was the only entity offering mutual funds in India, and the first scheme it launched was Unit Scheme 1964. In the 1970s and 1980s, the UTI launched many more products to cater to various investment needs. By the end of 1987, it was managing approximately Rs 6700 crore in assets under management. In 1987, for the first time, non-UTI public sector entities were permitted to enter the industry and this marked the entrance of various other public sector entities like the State Bank of India, Canara Bank, Punjab National Bank, LIC and GIC. By 1993, the total industry assets under management were close to Rs 50,000 crore.

The year 1993 marked the entry of private sector companies in the sector. Kothari Pioneer (now Franklin Templeton) was the first private sector mutual